Hanwha Aerospace (012450 KS)

3Q26 review: order wins overshadowed by earnings shock

Jong-min Baik
Defense/Space/AI/Robotics
jongmin.baik@yuantakorea.com

BUY (M)

Target price	W1,480,000 (M)
Previous target price	W1,480,000
Current price (Oct 29)	W760,000
Upside potential	95%

Market cap (Wbn)	39,188
Shares outstanding	51,563,401
Avg daily T/O (2M, Wbn)	163
Avg daily volume (2M, shrs)	160,700
52-week high/low (won)	1,537,000 / 760,000
Foreign ownership (%)	45.16%
Dividend yield (%)	0.74%
Major shareholders	Hanwha Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	(24.9)	(6.2)	(23.5)
Relative	(13.1)	(10.5)	(47.4)
Abs (US$)	(23.8)	1.5	(18.0)

3Q26 review: another timing mismatch

Preliminary 3Q26 consolidated sales reached W6,094.3bn (-6.0% YoY) and OP W452.0bn (-46.2% YoY, OPM 7.4%), both substantially below consensus estimates of W7.5tn and W1.16tn, respectively. Despite solid results at major subsidiaries, earnings at the ground defense business were very weak, with sales of W1,245.5bn (-41.0% YoY) and OP of W21.7bn (-96.2% YoY, OPM 1.7%). This reflected: 1) a heavy fixed-cost burden as revenue from units produced in 3Q26 will be recognized in 4Q26; 2) a lower export share (48% in 3Q26 vs 58% in 2Q26) and an unfavorable mix in both domestic and overseas businesses, with domestic operations around breakeven and overseas OPM estimated at 11%; 3) an unfavorable USD/KRW exchange rate; and 4) accident recovery costs at the Daejeon plant and other one-off expenses totaling W46.0bn (W30.0bn and W16.0bn, respectively).

When will Daejeon plant normalize, how will disruption affect operations?

Management indicated that operations at the Daejeon plant are scheduled to normalize in 1H27, with measures underway at the Boeun and Yeosu plants to supplement production. It also noted that Daejeon primarily serves domestic orders and that export delivery schedules, including those for Chunmoo and Cheongung-II propulsion systems, would remain unaffected. Nevertheless, some deterioration in profitability appears inevitable, given higher labor costs and other expenses associated with ramping up production at alternative sites.

Is mid-teen sales growth guidance achievable?

We believe a conservative approach is warranted. We lowered our 2026E ground defense sales forecast by 6.1%, deferring some revenue to 2027-2028. Management highlighted faster-than-planned deliveries, raising its delivery guidance for Poland's Chunmoo EC1 contract from 40 to 60 launchers. However, missiles are understood to account for a substantial share of the EC1 contract. We therefore factored in potential production delays and the possibility that revenue from December shipments recorded in trade data could be carried over into the following year. Growth should continue in 2027E as follow-on Polish contracts, Romania's K9 program, and Australia's Redback program enter mass production.

Maintain BUY; target price of W1,480,000

Despite the earnings shock, we view order wins (the US K9MH prototype, Spain's K9, and Croatia's Chunmoo programs) as positive surprises. The quarter-end order backlog stood at W35tn, with exports accounting for 74%, excluding Spain. The medium- to long-term growth outlook remains firmly intact. We believe it is premature to judge the company's future value based on unavoidable quarterly earnings fluctuations.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	6,094	-6.0	-34.4	7,487	-18.6
OP	452	-47.2	-66.9	1,161	-61.1
Pre-tax net profit	428	-47.3	-65.7	1,055	-59.5
Net profit, CI	273	-43.9	-57.1	544	-49.9
OPM (%)	7.4	-5.8 %pt	-7.3 %pt	15.5	-8.1 %pt
NPM (%)	4.5	-3.0 %pt	-2.3 %pt	7.3	-2.8 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	11,240	26,703	32,292	34,958
OP	1,732	3,089	4,238	5,054
Net profit, CI	2,299	1,405	2,124	2,663
P/E (x)	5.5	28.4	18.5	14.7
P/B (x)	2.4	4.3	3.4	2.8
EV/EBITDA (x)	12.8	13.1	10.1	8.8
ROE (%)	53.9	19.1	20.0	20.9

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Hanwha Aerospace: 3Q26 review (Wbn)

	3Q26P	Our estimate		Consensus		QoQ		YoY	
		3Q26	Diff (%)	3Q26E	Diff (%)	2Q26	%	3Q25	%
Sales	**6,094.3**	**7,939.5**	**-23.2**	**7,487.1**	**-18.6**	**9,292.9**	**-34.4**	**6,486.5**	**-6.0**
OP	452.0	1,341.2	-66.3	1,161.4	-61.1	1,365.5	-66.9	856.4	-47.2
OPM (%)	***7.4***	***16.9***	***-9.5***	***15.5***	***-8.1***	***14.7***	***-7.3***	***13.2***	***-5.8***

Source: company data, Quantiwise, Yuanta Securities

Annual earnings forecast revision (Wbn)

	Old			New			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Consolidated sales	**33,167.9**	**35,840.6**	**39,974.3**	**32,292.2**	**34,957.7**	**38,814.7**	**-2.6**	**-2.5**	**-2.9**
% YoY	*24.2*	*8.1*	*11.5*	*20.9*	*8.3*	*11.0*			
Aerospace	3,187.4	3,736.1	4,105.3	3,187.4	3,736.1	4,105.3	0.0	0.0	0.0
Ground defense	**10,066.7**	**11,923.3**	**13,580.0**	**9,457.6**	**11,871.6**	**13,284.7**	**-6.1**	**-0.4**	**-2.2**
Hanwha Systems	4,593.2	5,403.9	6,428.1	3,866.2	4,456.2	5,445.0	-15.8	-17.5	-15.3
Hanwha Ocean	15,843.0	15,528.8	17,580.4	15,753.7	14,838.7	15,919.5	-0.6	-4.4	-9.4
Satrec Initiative	236.3	283.5	311.9	236.3	283.5	311.9			
Consolidated OP	**4,766.9**	**5,200.6**	**6,621.9**	**4,203.1**	**4,995.7**	**5,926.2**	**-11.8**	**-3.9**	**-10.5**
% YoY	*54.3*	*9.1*	*27.3*	*36.1*	*18.9*	*18.6*			
OPM (%)	***14.4***	***14.5***	***16.6***	***13.0***	***14.3***	***15.3***	***-1.4***	***-0.2***	***-1.3***

Source: Yuanta Securities

Hanwha Aerospace: earnings table (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E	2028E
Sales	**5,484.2**	**6,311.0**	**6,486.5**	**8,421.2**	**5,751.0**	**9,292.9**	**6,094.4**	**11,153.9**	**26,702.9**	**32,292.2**	**34,957.7**	**38,814.7**
% YoY	*278.4*	*170.3*	*146.5*	*74.5*	*4.9*	*47.3*	*-6.0*	*32.5*	*137.6*			
Aerospace	530.9	648.9	604.0	729.3	661.2	760.0	659.9	1,106.3	2,513.1			
Ground defense	1,157.5	1,773.2	2,109.8	3,092.6	1,221.1	2,107.5	1,245.5	4,883.5	8,133.1		11,871.6	13,284.7
Hanwha Systems	573.7	619.5	639.2	1,266.3	644.9	887.2	831.6	1,502.5	3,098.7			
Hanwha Ocean	3,143.1	3,294.1	3,023.4	3,323.0	3,209.9	5,443.2	3,413.9	3,686.7	12,783.6	15,753.7	14,838.7	15,919.5
Satrec Initiative	40.0	44.5	50.4	72.0	37.2	51.1	56.2	91.8	206.9			
OP	**529.9**	**861.4**	**839.6**	**858.3**	**638.9**	**1,365.5**	**452.0**	**1,781.5**	**3,089.2**			
% YoY	*2,886.3*	*155.4*	*75.9*	*-4.6*	*20.6*	*58.5*	*-46.2*	*107.6*	*78.4*			
OPM (%)	**9.7**	**13.6**	**12.9**	**10.2**	**11.1**	**14.7**	**7.4**	**16.0**	***11.6***			

Source: Yuanta Securities

Ground defense earnings trend and forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E	2028E
Sales	**1,157.5**	**1,773.2**	**2,109.8**	**3,092.6**	**1,221.1**	**2,107.5**	**1,245.5**	**4,883.5**	**8,133.1**	**9,457.6**	**11,871.6**	**13,284.7**
OP	301.9	522.5	572.6	604.3	208.7	533.0	21.7	1,571.2	2,001.3	2,334.6	2,977.8	3,326.2
OPM (%)	**26.1**	**29.5**	**27.1**	**19.5**	**17.1**	**25.3**	**1.7**	**32.2**	**24.6**	**24.7**	**25.1**	**25.0**

Source: Yuanta Securities

Ground defense: key export pipeline (-2031E)

	Country	Contract Value (Wbn)	Units	2025	2026E	2027E	2028E	2029E	2030E	2031E
K9	Australia	794	30		MP					
	Egypt	1,995	200		MP					
	Poland – First contract	3,204	212							
	Poland – Second	3,448	152				MP			
	Romania	1,383	54			MP				
	India	371	100							
	Vietnam	352	25							
	Poland – Chassis	403								
	Finland	940	112							MP
	Spain	Undisclosed	128							
Chunmoo	Poland – First contract	5,048	218							
	Poland – Second	2,253	72							
	Poland – Third contract	5,600								
	Norway	1,316	16							
	Estonia	402	6							
	Saudi Arabia	402								
	Croatia	641	18			MP				
Redback	Australia	3,165	129			MP				
Cheongung-II	UAE – Launchers	389		MP						
	Saudi Arabia –	628			MP					
	Saudi Arabia –	318								
	Iraq – Launchers	388				MP				

Note: MP = mass productionxSource: company data, Yuanta Securities

Global defense peers: valuation table **(won, Wtn, %)**

		Hanwha Aerospace	Korea Aerospace Industries	Hyundai Rotem	LIG D&A	Lockheed Martin	BAE Systems	Rheinmetall	GE Aerospace	Elbit Systems
Market cap	(Wtn)	**39.2**	9.8	8.6	9.4	194.4	108.1	70.4	415.7	48.6
Sales	2025	**26.7**	3.7	5.8	4.3	106.7	53.1	16.0	65.2	11.3
	2026E	**32.1**	5.2	6.5	5.1	107.9	59.2	20.7	68.5	12.3
	2027E	**34.4**	6.7	7.2	6.1	115.6	64.4	27.8	76.6	13.8
	2028E	**37.5**	7.6	8.6	7.2	122.5	69.7	36.9	83.8	15.2
OP	2025	**3.1**	0.3	1.0	0.3	11.0	5.5	2.6	12.2	1.0
	2026E	**4.7**	0.3	1.0	0.4	12.8	6.4	3.7	14.9	1.2
	2027E	**5.7**	0.6	1.1	0.6	13.8	7.1	5.4	16.9	1.4
	2028E	**6.5**	0.8	1.5	0.9	14.7	7.9	7.3	18.9	1.6
OPM	2025	**11.6**	7.3	17.2	7.4	10.3	10.3	16.5	18.7	8.5
	2026E	**14.6**	6.4	15.3	8.7	11.8	10.8	18.1	21.8	10.1
	2027E	**16.7**	8.9	15.1	10.5	11.9	11.1	19.4	22.0	10.5
	2028E	**17.4**	10.0	16.8	12.0	12.0	11.4	19.8	22.5	10.5
Net profit	2025	**1.4**	0.2	0.8	0.3	7.1	3.9	1.1	12.4	0.8
	2026E	**2.3**	0.2	0.8	0.4	9.4	4.4	2.3	11.5	1.1
	2027E	**2.9**	0.4	0.9	0.5	10.2	5.0	3.5	13.0	1.3
	2028E	**3.3**	0.6	1.2	0.7	10.9	5.5	4.9	14.6	1.4
ROE	2025	**19.1**	10.5	30.1	19.2	76.9	17.6	15.4	45.8	14.4
	2026E	**20.9**	11.7	23.2	22.2	79.3	19.9	30.4	48.0	18.1
	2027E	**22.0**	19.2	21.0	25.3	65.0	21.1	33.4	52.4	19.5
	2028E	**21.5**	21.6	22.3	27.7	58.5	22.0	34.5	55.8	20.2
P/E (x)	2025	**33.4**	59.9	26.8	36.6	29.5	24.9	68.1	48.8	49.2
	2026E	**17.0**	43.4	10.7	25.9	20.5	23.9	27.8	36.9	47.3
	2027E	**13.5**	23.0	9.7	18.0	19.0	21.2	18.9	32.3	41.6
	2028E	**11.8**	17.3	7.4	13.3	17.5	18.7	13.7	28.3	36.0
P/B (x)	2025	**5.1**	6.1	6.7	6.5	16.5	4.4	14.3	17.3	6.5
	2026E	**3.2**	4.8	2.2	5.2	13.2	4.8	7.5	17.4	8.0
	2027E	**2.7**	4.1	1.8	4.2	10.7	4.4	5.8	16.0	7.2
	2028E	**2.3**	3.4	1.5	3.3	9.2	4.1	4.5	14.7	6.4
EV/EBITDA (x)	2025	**15.4**	35.1	18.2	22.8	13.4	13.9	33.5	36.7	28.0
	2026E	**9.7**	27.3	5.8	18.2	14.2	14.4	16.1	29.2	31.4
	2027E	**8.0**	17.3	5.3	13.7	13.3	13.0	11.5	25.8	27.2
	2028E	**7.1**	13.8	4.0	10.5	12.4	11.9	8.5	23.2	23.4

Note: 1) unit for both domestic overseas companies are unified at Wtn, 2) as of the Oct 29 closing prices; source: Bloomberg, Yuanta Securities

Hanwha Aerospace (012450 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**11,240**	**26,703**	**32,292**	**34,958**	**38,815**
Cost of sales	8,370	21,252	24,933	26,335	28,787
Gross profit	2,870	5,450	7,359	8,622	10,028
SG&A	1,138	2,361	3,121	3,568	4,078
Operating profit	**1,732**	**3,089**	**4,238**	**5,054**	**5,950**
EBITDA	2,063	3,962	5,108	5,952	6,881
Non-operating profit	916	-879	-307	-206	-201
Forex gains	92	-66	-59	-62	-65
Net interest income	-173	-267	-205	-186	-178
Equity-method gains	105	-83	83	83	83
Other	890	-464	-126	-41	-41
Net prof before income tax	2,647	2,210	3,931	4,848	5,748
Income tax	136	8	603	674	969
Net profit from continuing ops	2,511	2,202	3,329	4,174	4,779
Net profit from discontinued ops	29	0	0	0	0
Net profit	2,540	2,202	3,329	4,174	4,779
NP for controlling interest	**2,299**	**1,405**	**2,124**	**2,663**	**3,049**
Total comprehensive income	2,598	2,306	3,432	4,278	4,883
Total comprehensive income, CI	2,376	1,437	2,139	2,666	3,043

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**22,868**	**30,705**	**38,054**	**44,736**	**52,769**
Cash & cash equivalents	2,968	7,713	9,904	11,376	12,480
Accounts receivables & other	8,884	3,448	3,681	3,880	4,308
Inventory	6,290	7,742	9,290	11,148	13,378
Non-current assets	20,469	23,248	23,514	24,038	24,714
Tangible assets	8,320	9,524	9,883	10,500	11,143
Investment in affiliates	964	2,190	2,409	2,608	2,896
Other investment assets	1,453	1,958	1,986	1,999	2,018
Total assets	**43,337**	**53,954**	**61,568**	**68,775**	**77,483**
Current liabilities	25,516	29,976	33,308	35,255	38,052
Accounts payable & other	4,270	6,041	7,306	7,909	8,781
ST financial liabilities	5,153	5,371	5,721	5,571	5,271
Liquid LT liabilities	965	1,611	1,611	1,611	1,611
Non-current liabilities	6,456	7,189	8,400	9,742	11,131
LT financial liabilities	2,458	3,114	3,114	3,114	3,114
Debentures	1,707	2,298	3,298	4,498	5,698
Total liabilities	**31,973**	**37,165**	**41,707**	**44,997**	**49,183**
Equity, controlling interest	4,995	9,685	11,552	13,959	16,752
Paid-in capital	240	270	270	270	270
Capital surplus	207	3,604	3,604	3,604	3,604
Retained earnings	4,747	5,983	7,746	10,049	12,738
Equity, non-controlling interest	6,369	7,103	8,308	9,819	11,548
Total equity	**11,364**	**16,788**	**19,861**	**23,778**	**28,301**
Net debt	**7,505**	**4,717**	**3,888**	**3,516**	**3,277**
Total debt	11,190	13,010	14,401	15,471	16,399

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**1,393**	**4,050**	**2,051**	**2,894**	**3,051**
Net profit	2,540	2,202	3,329	4,174	4,779
Depreciation & amortization	259	495	531	593	657
Forex gains	-11	9	59	62	65
Affiliate investment gains	-105	83	-83	-83	-83
Increase in net working cap	-903	571	-1,744	-1,778	-2,266
Other	-386	690	-41	-73	-102
Investing cash flow	**-1,367**	**-4,021**	**-1,322**	**-1,549**	**-1,828**
Investment	-602	-2,027	-247	-212	-307
Increase in tangible assets	-578	-1,711	-889	-1,210	-1,300
Decrease in tangible assets	2	19	0	0	0
Other	-189	-302	-186	-127	-221
Financing cash flow	**1,066**	**4,682**	**1,298**	**526**	**383**
ST financial liabilities	4,150	-34	391	-130	-272
Debenture/LT financial liabilities	2,778	1,853	1,000	1,200	1,200
Equity	-10	3,428	0	0	0
Cash dividend	-120	-195	-360	-360	-360
Other cash flow	-5,732	-369	267	-184	-185
Consolidation adj and other	70	35	164	-399	-501
Increase in cash & equivalents	**1,161**	**4,746**	**2,190**	**1,472**	**1,104**
Beginning cash & equivalents	1,806	2,968	7,713	9,904	11,376
Ending cash & equivalents	2,968	7,713	9,904	11,376	12,480
NOPLAT	1,732	3,089	**4,238**	**5,054**	**5,950**
FCF	**815**	**2,339**	**1,162**	**1,684**	**1,751**

Valuation

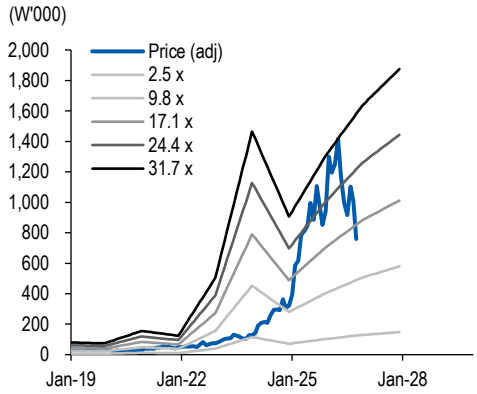
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	46,183	28,573	41,187	51,644	59,133
BPS (won)	108,088	188,251	224,543	271,322	325,607
EBITDA/shr (won)	41,440	80,579	99,064	115,430	133,440
SPS (won)	225,800	543,072	626,262	677,956	752,757
DPS (won)	3,443	7,000	7,000	7,000	7,000
P/E (x)	**5.5**	**28.4**	**18.5**	**14.7**	**12.9**
P/B (x)	**2.4**	**4.3**	**3.4**	**2.8**	**2.3**
EV/EBITDA (x)	**12.8**	**13.1**	**10.1**	**8.8**	**7.9**
P/S (x)	**1.1**	**1.5**	**1.2**	**1.1**	**1.0**

Key financial data

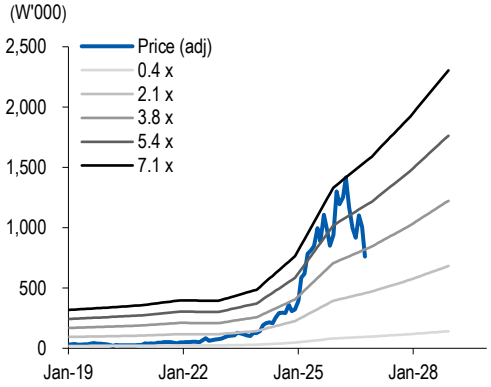
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**20.1**	**137.6**	**20.9**	**8.3**	**11.0**
Operating profit (%YoY)	**150.6**	**78.4**	**37.2**	**19.3**	**17.7**
Net profit, CI (%YoY)	**181.2**	**-38.9**	**51.2**	**25.4**	**14.5**
Gross margin (%)	25.5	20.4	22.8	24.7	25.8
Operating margin (%)	**15.4**	**11.6**	**13.1**	**14.5**	**15.3**
Net margin, CI (%)	20.5	5.3	6.6	7.6	7.9
EBITDA margin (%)	18.4	14.8	15.8	17.0	17.7
ROIC (%)	16.7	18.7	20.3	21.2	20.3
ROA (%)	7.3	2.9	3.7	4.1	4.2
ROE (%)	**53.9**	**19.1**	**20.0**	**20.9**	**19.9**
Debt-to-equity (%)	281.3	221.4	210.0	189.2	173.8
Net debt-to-equity (%)	150.3	48.7	33.7	25.2	19.6
OP/financing cost (x)	7.1	6.3	7.6	8.4	9.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

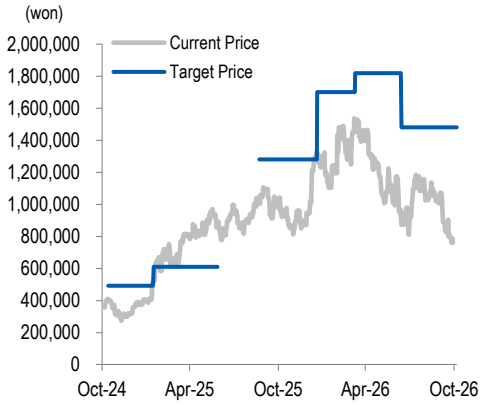
P/E band chart



P/B band chart



Hanwha Aerospace (012450 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/30	BUY	1,480,000	1 yr		
2026/07/14	BUY	1,480,000	1 yr		
2026/04/09	BUY	1,820,000	1 yr	-32.75	-15.93
2026/01/20	BUY	1,700,000	1 yr	-22.56	-9.59
2025/09/22	BUY	1,280,000	1 yr	-23.31	3.91
	Analyst changed				
2025/02/14	BUY	610,517	1 yr	26.16	58.88
2024/11/12	BUY	492,353	1 yr	-26.89	4.00
2024/03/06	BUY	239,385	1 yr	12.49	71.12

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 30, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)